

Funeral Assurance Industry Report

for the period ended 30 September 2019

enquiry@ipec.co.zw



www.ipec.co.zw



+263 242 443358/59/61
+263 242 443322
+263772154281-4
+263 242 443304



160 Rhodesville Ave, Greendale,
Harare, Zimbabwe





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This report relates to funeral assurance business written by funeral assurers only and does not relate to funeral assurance business written by life assurers. The funeral business generated by life assurers is reported in the life assurance report.

All the figures in this report are expressed in ZWL\$. Figures relating to periods before February 2019 which were originally reported in USD\$ have been converted into ZWL\$ at parity with the United States Dollar in accordance with the provisions of S.I 133 of 2019.

Growth referred to in this report is nominal growth unless stated otherwise. Real growth might have been negative given that the annual inflation rate was 175.7% as at 30 June 2019 and that no official inflation rates were released from the month July 2019 going forward. In light of the foregoing, real growth for the nine months ended 30 September 2019 could not be ascertained.



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Abbreviations

GPW	Gross Premium Written
PA	Prescribed Assets/Securities as defined by Insurance Act [Chapter 24:07]
IPEC	Insurance and Pensions Commission
IFRS 17	International Financial Reporting Standard 17
AML- CFT	Anti-Money Laundering Combating Financial Terrorism
ZSE	Zimbabwe Stock Exchange

1. Executive Summary

- 1.1 The number of registered and operating funeral assurers writing strictly funeral business in the market decreased from nine (9) as at 30 June 2019 to eight (8) as at 30 September 2019. This change was due to Doves Life Assurance (formerly Doves Funeral Assurance) which successfully applied for a life assurance registration certificate.
- 1.2 The Gross Premium Written (GPW) by the eight dedicated funeral assurers decreased from ZWL\$ 31,41 million for the nine months ended 30 September 2018 to ZWL\$ 21,13 million for the nine months ended 30 September 2019. The 32.71% decrease was as a result of change in the registration certificate of Doves to a life assurer as it was one of the biggest funeral assurers in the market.
- 1.3 Reinsurance uptake by funeral assurers remained low as reflected in the retention ratio of the industry which stood at 99.89%. Only one funeral assurer has reinsurance arrangement(s) in place, while the other seven funeral assurers retained 100.00% of the risk business.
- 1.4 Profit before tax and interest for the funeral assurance sector decreased by 63.21% from ZWL\$ 3,60 million for the nine months ended 30 September 2018 to ZWL\$ 1,33 million for the nine months ended 30 September 2019. The decrease in profit before interest and tax was mainly due to:
 - 1.4.1 An overall increase in inflationary pressures associated with the rising costs of providing funeral services as a result of the introduction of the currency reforms;
 - 1.4.2 High administration costs needed to retain policyholders on their books as the persistency ratio was noticed to be around 90.00% during the period under review.
- 1.5 Funeral assurers' total assets increased by 19.62% from ZWL\$ 180,14 million as at 30 June 2019 to ZWL\$ 215,48 million as at 30 September 2019. The increase in asset movement was as a result of mainly one funeral assurer that revalued its properties, as evidenced by the 107.00% jump in the value of their occupational and investment properties.
- 1.6 All funeral assurers were not compliant with the minimum Prescribed Asset (PA) ratio of 10.00%. Industry investments in prescribed assets decreased by 69.94% from ZWL\$ 961,340.00 as at 30 June 2019 to ZWL\$ 289,010.00 as at 30 September 2019.

- 1.7 Six out of eight funeral assurers reported unadjusted capital positions above the regulatory minimum capital requirement of ZWL\$ 2,50 million based on their unaudited financials as at 30 September 2019.
- 1.8 Total technical liabilities decreased by 24.67% from ZWL\$ 33,74 million as at 30 June 2019 to ZWL\$ 25,41 million as at 30 September 2019. Future policyholder benefits were the major component of technical liabilities as they accounted for 99.70% of technical liabilities, whilst unearned premium reserve and gross outstanding claims accounted for 0.3%.
- 1.9 The number of policies written decreased by 59.84% from 411,600 policies for the nine months ended 30 September 2018 to 165,290 policies for the comparable period in 2019. The sum assureds decreased by 22.70% from a total sum assured of ZWL\$ 213,03 million for the nine months ended 30 September 2018 to ZWL\$ 164,67 million for the nine months ended 30 September 2019. This significant decrease from both policy count and sum assureds was due to the change in the licence by Doves to a life assurer which had a significant impact on the number of policies written by funeral assurers. In addition, the shrink in disposable incomes resulted in the decrease in number of policies written.
- 1.10 The funeral assurance industry employed 262 non-executive staff and 42 executives with a network of 98 branches across the country as at 30 September 2019. There were 133 fraud cases with a value of \$ 51,019 that were reported by funeral assurers which are still being investigated.
- 1.11 Table 1 below indicates the key financial highlights for the funeral assurance sector as at 30 September 2019. Furthermore, Appendix 1, 2 and 3¹ show performance indicators, income statement and statement of financial position for each funeral assurer.

¹ The figures in the appendices exclude Doves as at 30 September 2019. However, the analysis incorporated Doves figures as at 30 September 2018 in the subsequent sections.

Table 1: Key Performance Indicators

Key Financial Indicators	Funeral Assurers		
	Sep-18	Sep-19	Change
Funeral assurers GWP (ZWL\$ 000)	31,411.25	21,135.43	-32.71%
Net Written Premium (ZWL\$ 000)	31,390.76	21,111.48	-32.75%
Total Gross Claims (ZWL\$ 000)	9,162.15	6,073.19	-33.71%
Operating Expenses including Administration and Management (ZWL\$ 000)	14,567.00	13,064.96	-10.31%
Commissions (ZWL\$ 000)	3,099.00	1,649.71	-46.77%
Total Costs (ZWL\$ 000)	26,829.00	20,787.86	-22.52%
Profit Before Interest and Tax (ZWL\$ 000)	3,603.00	1,325.60	-63.21%
Ratio Analysis			
Expense Ratio	56.28%	69.62%	1,334 basis points
Claims Ratio	29.17%	28.73%	- 43,37 basis points
Combined Ratio	85.45%	98.36%	1,291 basis points
Industry Overview	Sep-18	Sep-19	Change
Total Number of Policies (000)	411.60	165.29	-59.84%
Total Sum Assured (ZWL\$ 000)	213,028.03	164,671.47	-22.70%
Number of Executives	84	42	50.00%
Number of Non-Executive Staff	315	262	16.83%
Number of Branches	104	98	5.77%
Number of Reported Fraud Cases	-	133	n/a
Total Value of Fraud Amount (ZWL\$ 000)	-	51.02	n/a
	Jun-19	Sep-19	Change
Total Assets (ZWL\$ 000)	180,146.34	215,484.71	19.62%
Total Liabilities (ZWL\$ 000)	57,875.21	45,064.51	-22.14%
Capital - Net Assets (ZWL\$000)	122,271.14	170,420.20	39.38%
Capital to liability Ratio	211.27%	378.17%	166.90%
Prescribed Assets (ZWL\$000)	961.34	289.01	-69.94%
Prescribed Asset Ratio (%)	0.54%	0.13%	-41.00 basis points

2. The Insurance and Pensions Commission at a Glance

The Insurance and Pensions Commission (IPEC) is a statutory body mandated with regulating, supervising and developing the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe. This report outlines IPEC's various activities consistent with its statutory mandate for the nine months ended 30 September 2019 as well as the state of the insurance sector for the same period.

2.1. IPEC Mission Statement

"To regulate, supervise and strengthen the insurance and pension industry for the protection of policyholders and pension scheme members through regulatory excellence."

2.1.1. IPEC Vision

"A safe, vibrant and sustainable insurance and pensions industry by 2022."

2.1.2. IPEC Core Values

Core Value	Application Context
1. Fairness	We shall develop and apply rules, regulations and procedures equitably among all clients and stakeholders.
2. Integrity	We are fair, ethical and honest in our dealings with all our stakeholders. In doing so, we apply agreed policies equally to all, maintain the highest of personal, professional and ethical conduct.
3. Excellence	We are exemplary in the way we do our business. We strive to exceed expectations by upholding the utmost quality standards in carrying out our work.

2.2. IPEC Terms of Reference

The activities of the Commission are guided by the following acts and regulations:

- Insurance and Pensions Commission Act [Chapter 24:21]

- Pension and Provident Funds Act [Chapter 24:09]
- Insurance Act [Chapter 24:07]
- Money Laundering and Proceeds of Crime Act [Chapter 09:24]
- Finance Act [Chapter 23:04]
- Public Entities and Corporate Governance Act [Chapter 10:31]
- Public Procurement and Disposal of Public Assets Act [Chapter 22:23]
- Public Finance Management Act [Chapter 22:19]

2.3. Highlights of the Commission's Regulatory Activities

In pursuit of its mandate, the Commission undertook various initiatives aimed at regulating, supervising and developing the insurance and pensions industry in Zimbabwe. For the nine months ended 30 September 2019, the following activities and initiatives were undertaken by the Commission:

2.3.1. Post-Commission of Inquiry Reforms and Compensation Framework

The Commission is engaging with insurance and pension's industry players, apex bodies and aggrieved policyholders and pensioners on a sustainable way to compensate policy owners and fund members on value lost.

2.3.2. Guidance Paper on Currency Reforms

Following currency reforms which were announced through the Monetary Policy Statements, IPEC developed a paper to guide the industry on the following issues:-

- Revaluation of assets and liabilities
- Early pension commutations; and
- Investment guidelines vis a vis preserving value

Stakeholder views, including inputs from the World Bank Group, insurance industry and the Actuarial Society of Zimbabwe, among others, will be incorporated in the guidance paper on currency reforms and an equitable way of revaluing both liabilities and assets.

2.3.3. Financial Soundness Initiatives-Zimbabwe Integrated Capital and Risk Project

The objective of the project is to develop a Risk-Based Capital regulatory framework in line with international standards, e.g. Solvency II in UK and SAM in South Africa. African Actuarial Consultants (AAC) were appointed project consultants and are working with the Insurance and Pensions Commission in developing the framework. An industry workshop for the survey launch was held in February 2019. The survey (Gap Analysis) was carried out successfully and feedback on the survey results. During the period of compiling this report, the survey results were shared with industry at a Quantitative Impact Assessment (QIS) 1 workshop held on the 31st October 2019. Life, funeral, non-life insurers and reinsurers are expected to respond to the QIS 1 questionnaire by the end of November 2019.

2.3.4. Implementation of International Financial Reporting Standard (IFRS) 17

IFRS 17 is an International Financial Reporting Standard that was issued by the International Accounting Standards Board in May 2017. It will replace IFRS 4 on accounting for insurance contracts and has an effective date of 1 January 2022. The Commission will be spearheading awareness programmes for the insurance industry in readiness for implementation of IFRS 17 in January 2020.

2.3.5. Anti-Money Laundering Combating Financial Terrorism (AML- CFT)

IPEC is a designated competent supervisory authority in terms of the Money Laundering and Proceeds of Crime Act [CAP 9:24]. A National Risk Assessment for all sectors was conducted and is in the process of being finalised. All insurance players are expected to comply with AMLCFT issues in the interim by:

- Familiarising with provisions of the Money Laundering and Proceeds of Crime Act, Regulations on Freezing of Terrorist Assets – S.I. 76 of 2017, and S.I. 58 of 2019, recent amendments to the Deeds Act on beneficial ownership and provisions of the recently enacted Companies and Other Business Entities Act;
- Conduct institutional risk assessment on money laundering and terrorism financing;
- Develop measures to deal with the identified risk; and
- Compliance with AML/CFT legal framework.

3. Economic Overview

Economic Indicators and Performance of Investment Markets

The key matters affecting the economy for the nine months ended 30 September 2019 are summarised below:

3.1. Currency Changes

Currency reforms were introduced in by the Reserve Bank of Zimbabwe so as to sanitise the financial sector. The reforms were necessitated by the need to protect the public and maintain confidence within the financial sector. Various statutory instruments were issued as shown in Figure 1 below.

Figure 1: Currency Journey Map

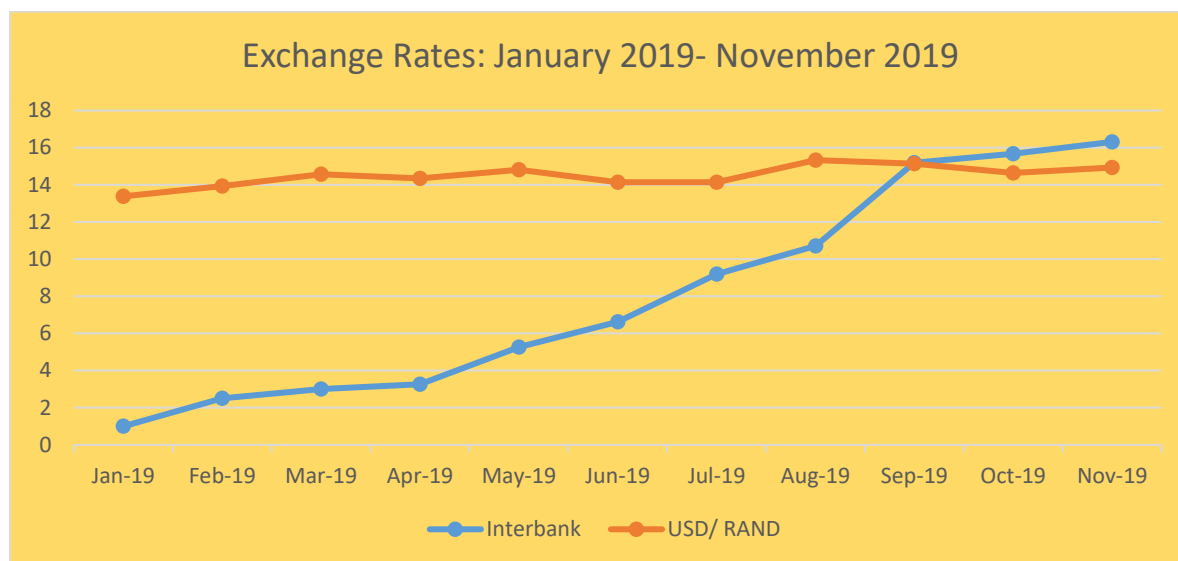


The introduction of the mono-currency directly affected in-force forex-denominated insurance contracts as well as fixed income investments such as bonds and money market.

3.2. Exchange Rate Developments January to November 2019

The country experienced deterioration of the local currency against other major currencies, particularly the United States dollar during the period February to November 2019 as shown in Figure 2 below.

Figure 2:Trends in the Exchange Rate

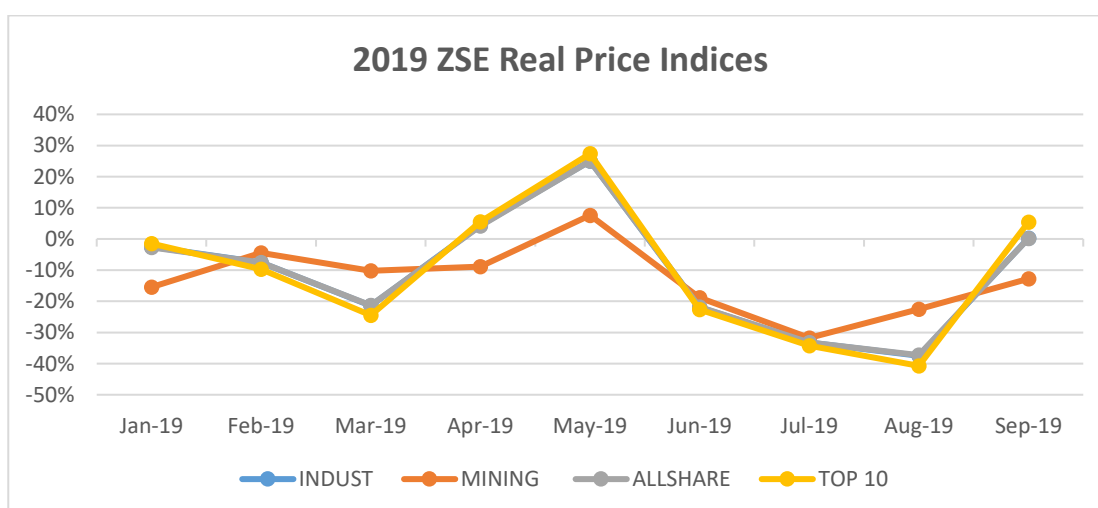


The persistent increase in the interbank exchange rate and cash shortages are largely influencing pricing models for basic goods and services. The Reserve Bank of Zimbabwe's planned new-cash injection into the economy is likely to introduce stability in both the exchange and inflation rates going forward.

3.3. Performance of Zimbabwe Stock Exchange (ZSE)

The period January to September 2019 has witnessed average negative real returns on all ZSE indexes as shown in Figure 3 below.

Figure 3: Performance of Zimbabwe Stock Exchange

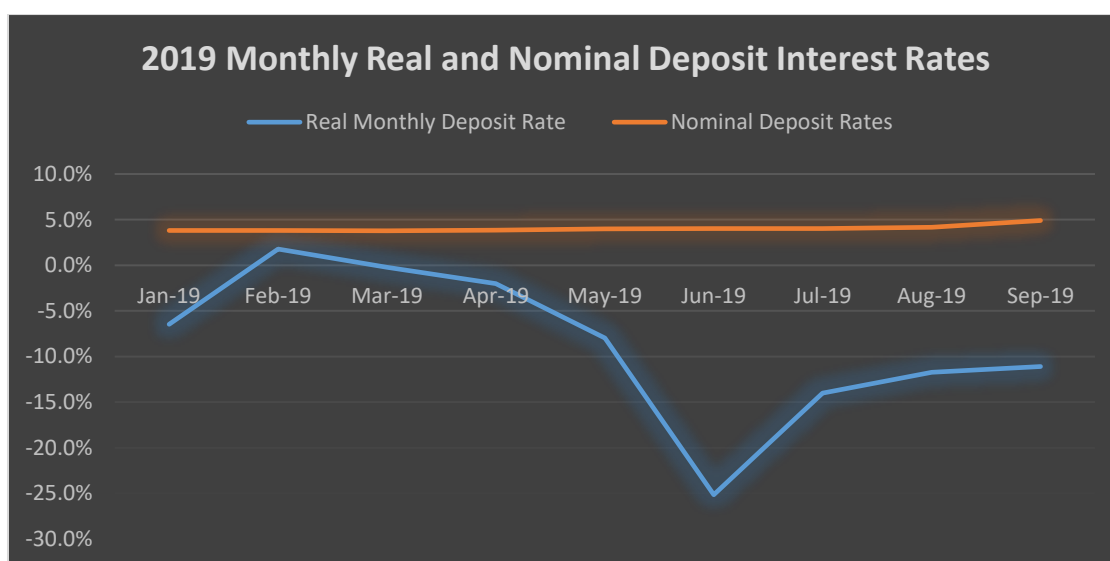


Whilst listed equities are generally a hedge against inflation, the value of shares has not changed to cover for inflation.

3.4. Performance of Money Market Investments

Real returns on money market investments were in the negative territory whilst nominal deposit rates hovered around 4% for the first seven months of the year. As at August 2019, the market witnessed an improvement in the real deposit rates probably due to the regulatory interventions by the Reserve Bank of Zimbabwe including the sharp increase of minimum lending rates to 50% from 10-15% previously, making interest rates more attractive.

Figure 4:Trends in the Money Market



3.5. Trends in Real Estate Market

The value of property portfolio is increasing in nominal terms in line with developments in inflation. Rental yields are also reportedly depressed on account of the recent inflation developments and low occupancy levels.

4. Performance in-terms of Business Written

4.1. The funeral assurance sector total GPW decreased by 32.71% from ZWL\$ 31,41 million for the nine months ended 30 September 2018 to ZWL\$ 21,14 million for the nine months ended 30 September 2019. The 32.71% decrease was partly attributed to the funeral assurer that changed its registration certificate to a life assurance entity.

4.2. Although, new business grew by 25.00% from both individual and group perspective, the overall net effect failed to match the business that was being written by the former funeral assurer. This is because the business written by the former funeral assurer was

approximately 48.00% of the total GPW by all registered funeral assurers during the nine months ended 30 September 2018.

- 4.3. Funeral assurers continue to struggle writing new business as compared to life assurers, who wrote funeral assurance business worth ZWL\$ 194,67 million for the nine months ended 30 September 2019. This was nine times more than the business written by the eight dedicated funeral assurers.
- 4.4. Stiff competition from life assurers' has adversely affected the ability of dedicated funeral assurers to write new business. This trend is particularly noticeable as one life assurer had market share of 63.33% in-terms of GPW for funeral business. The GPW for the referenced entity increased by 74.56% from ZWL\$ 78,29 million for the nine months ended 30 September 2018 to ZWL\$ 136,67 million for the nine months ended 30 September 2019.
- 4.5. Individual business continues to be the dominant business line for the funeral assurance sector as it accounted for 89.35% of GPW, whereas corporate business accounted for 10.65% for the nine months ended 30 September 2019. A detailed breakdown of GPW per funeral assurer is shown in Appendix 4. A summary of the GPW per company is shown in Table 2 below.

Table 2: Gross Premium Written Per Company (ZWL\$ 000)

	Name of Company	Sep-18	Sep-19	Change
1.	Doves	14,872.64	Now life assurer	
2.	First Funeral	4,757.98	4,606.36	-3.19%
3.	Foundation	785.26	955.93	21.73%
4.	Moonlight	8,920.78	12,174.34	36.47%
5.	Orchid	29.89	40.77	36.41%
6.	Passion	881.25	1,271.69	44.31%
7.	Ruvimbo	292.67	562.53	92.20%
8.	Sunset	54.80	131.86	140.62%
9.	Vineyard	815.98	1,391.95	70.59%
	Total	31,411.25	21,135.43	27.79%

5. Capitalisation

- 5.1. Six out of eight funeral assurers reported unadjusted capital positions above the regulatory minimum capital requirement of ZWL\$ 2,50 million based on their unaudited financials as at 30 September 2019. The Commission has engaged all funeral assurers

to submit capital self-assessment templates that determines their adjusted capital position.

5.2. Registered funeral assurers are expected to pay particular attention to the dictates outlined in Statutory Instrument (SI) 95 of 2017.

5.3. The Commission noted that a number of funeral assurers reported capital levels which include assets such as software and other intangible assets that may not be available to fulfil policyholder obligations.

5.4. The results of the self-assessments will also assist in determining the level of solvency, given that some funeral assurers have the investment properties registered in third party names. This will also assist in the development of appropriate levels of calibrating models that are practically applicable in determining the solvency levels corresponding to the risk levels that the funeral assurers are exposed to.

5.5. The unadjusted capital position for funeral assurers ranged from ZWL\$ 0,70 million to ZWL\$ 141,36 million as at 30 September 2019, as shown in Table 3 below.

Table 3: Capitalisation Trend Levels

Company	Capital Position				
	Sep-18	Dec-18	Mar-19	Jun-19	Sep-19
Doves	16,636.01	17,665.70	17,084.15	46,829.68	Now life assurer
First Funeral	5,911.79	5,829.53	5,829.53	9,110.73	9,057.65
Foundation	830.72	1,445.63	1,388.74	3,005.07	3,013.21
Moonlight	4,109.15	4,504.36	4,559.41	55,469.26	141,366.99
Orchid	693.66	711.68	711.68	711.28	704.05
Passion	549.3	535.86	556.83	511.22	792.39
Ruvimbo	2,245.30	2,466.17	2,445.85	2,445.85	3,383.21
Sunset	1,684.24	1,682.64	1,568.37	1,677.95	9,564.29
Vineyard	2,310.11	2,318.11	2,502.04	2,510.10	2,538.40
Total	34,970.28	37,159.68	36,646.58	122,271.14	170,420.20

6. Asset Quality

6.1. Funeral assurers' total assets increased by 19.62% from ZWL\$ 180,14 million as at 30 June 2019 to ZWL\$ 215,48 million as at 30 September 2019.

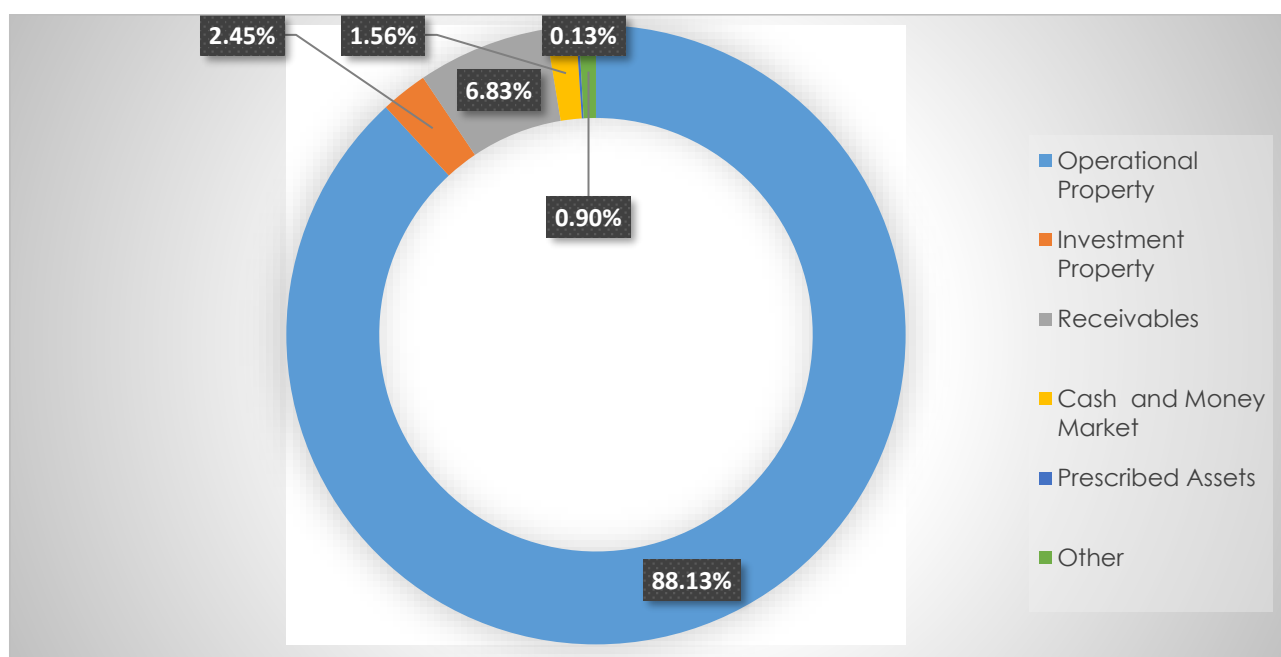
6.2. The change in the asset movement was mainly due to one funeral assurer that conducted property revaluations following the recent currency reforms. The resultant effect was a 107.00% increase in the value of the properties. This resulted in the industry holding 88.00% of their assets in operational and investment property. However, it was observed that quite a significant portion of these properties are owner occupied and are being used for the business operations by subsidiary funeral services companies. In some instances, the ownership is also not absolute, given that the funeral assurers do not have legal title to the properties.

6.3. Accounts receivables constituted 7% of the funeral assurers' asset portfolio. This percentage is relatively high given that funeral assurers, at a minimum are foregoing a risk-free return that can be achieved from these funds. This is because they are earning zero return on this asset class.

6.4. The revaluation gains on listed equities experienced on the Zimbabwe Stock Exchange had little impact on the funeral assurance sector as 1.20% of total assets were invested in equities.

6.5. The distribution of assets for the funeral assurance sector is as shown in Figure 5 below.

Figure 5: Breakdown of Assets



6.6. All funeral assurers were not compliant with the minimum PA ratio of 10.00% as stipulated by Statutory Instrument 206 of 2019. Funeral assurers are expected to hold at least 10.00% of their total adjusted assets in prescribed assets. Industry investments in prescribed assets decreased by 69.94% from ZWL\$ 961,000.00 as at 30 June 2019 to ZWL\$ 289,010.00 as at 30 September 2019.

6.7. Funeral assurers are consequently expected to submit in writing to the Commission their compliance proposal as required in-terms of Section 11B(4) of the Insurance Regulations (SI 49 of 1989) as amended by SI 206 of 2019.

6.8. Should any funeral assurer fail to adhere, the Commission will not hesitate to implement any of the measures provided for in-terms of Section 11B(6) Insurance Regulations (SI 49 of 1989) as amended by SI 206 of 2019 to ensure compliance.

Table 4 below shows the compliance levels for each funeral assurer.

Table 4: Prescribed Assets for the Funeral Assurance Sector as at 30 Sept 2019

Company	PA Investments	Total Adjusted Assets	PA Ratio	Amount Required to be Compliant	Variance in Compliance
Orchid	-	4,033.15	0.00%	403.31	10.00%
First Funeral	10.99	14,241.61	0.08%	1,424.16	9.92%
Foundation	118.29	4,322.26	2.74%	432.23	7.26%
Moonlight	12.31	174,321.85	0.01%	17,432.19	9.99%
Passion	37.63	1,127.72	3.34%	112.77	6.66%
Ruvimbo	13.24	4,424.58	0.30%	442.46	9.70%
Sunset	0.30	9,797.39	0.00%	979.74	10.00%
Vineyard	96.26	3,216.14	2.99%	321.61	7.01%
Total	289.01	214,801.70	0.13%	21,548.47	9.87%

7. Reinsurance

7.1. One out of eight funeral assurers had reinsurance arrangement(s) in place as a risk management tool. Accordingly, the overall net effect of the reinsurance on the sector is very minimal given that 1.88% of the business is being reinsured and 98.12% of the business is being retained.

7.2. The Commission cannot underscore the need for funeral assurers to have reinsurance arrangements so as to better manage the risks that they are exposed to. Furthermore, reinsurance increases the amount of available capital, thereby allowing funeral assurers to write more business.

8. Actuarial Matters

- 8.1. Total technical liabilities for the funeral assurance sector decreased by 24.67% from ZWL\$ 33,74 million as at 30 June 2019 to ZWL\$ 25,41 million as at 30 September 2019. Future policyholder benefits were the major component of technical liabilities as they accounted for 99.70% of technical liabilities, whilst unearned premium reserve and gross outstanding claims accounted for 0.3%
- 8.2. Given the volatile environment that funeral assurers are operating in, there is need for policyholder benefits to be able to match the cost of the insured event. This is because most funeral assurers provide a defined benefit in the form of a service. Thus, funeral assurers should be able to adapt to the ever-changing macro-economic environment.
- 8.3. There is need for funeral assurers to set reserves that are reflective of future claims experience that is likely to emerge, as some funeral assurers are not incorporating any reasonable assumptions into the figures being submitted. This position is emanating from the negative claims experience from a claims ratio (gross claims / gross premiums) of 29.17% for the nine months ended 30 September 2018 to 28.73% for the nine months ended 30 September 2019. This implies a movement of - 43.37 basis points.
- 8.4. The low claims ratio being experienced might be indicative of incorrect mortality assumption and/or various assumptions being applied to the funeral product pricing. This suggests that funeral assurers may be overcharging for funeral products as this trend has been experienced for a considerable period.
- 8.5. All funeral assurers are, therefore, encouraged to revisit their various business models especially where pricing and reserving methodologies are concerned. This will assist in reducing the risk of over/under reserving.
- 8.6. Funeral assurers should also review the adequacy of premiums that are being charged, so that they are commensurate with the risk being underwritten. Reviewing the above-mentioned methodologies is crucial as it will allow for movement from cash underwriting where claims (funeral expenses) are being met from new premiums instead of existing insurance pool.

- 8.7. The Commission cannot accentuate the need for all funeral assurers to continuously ensure that they are able to match their liability exposure with their assets. This is due to a number of policyholders having multiple policies. As a result some policyholders may opt for a cash benefit instead of a funeral benefit in certain instances.
- 8.8. Consequently, there is need for funeral assurers to adhere to Section 58(4) and (5) of the Insurance Act [Chapter 24:07], where they are required to offer a cash benefit equal to the cost of providing a service. This is likely to increase the reserves that funeral assurers are likely hold.

9. Earnings

- 9.1. Five (5) funeral assurers reported profit before interest and tax, whilst three other funeral assurers reported losses during the period under review. However, the reported losses experienced by the 3 funeral assurers were insignificant as the overall net effect was a sector profit before interest and tax.
- 9.2. Profit before interest and tax for the funeral assurance sector decreased by 63.21% from ZWL\$ 3,60 million for the nine months ended 30 September 2018 to ZWL\$ 1,33 million for the nine months ended 30 September 2019. The decrease in profit before interest and tax was on account of the following:
- 9.2.1. An overall increase in inflationary pressures resulting in rising costs of providing funeral services; and
 - 9.2.2. High administration costs associated with the need to retain policyholders. This was noticeable as the persistency ratio was approximately 90.00% during the period under review.
- 9.3. Although operating expenses decreased by 10.31%, they still remained relatively high and concentrated in two funeral assurers which accounted for approximately 80.00% of the operating expenses (ZWL\$ 13,06 million) for the nine months ended 30 September 2019. The remaining six funeral assurers accounted for remaining 20.00% of operating expenses.

- 9.4. The expense ratio for the nine months ended 30 September 2019 stood at 69.62%. This implies that for every dollar of premium received approximately sixty-nine cents was spent on management and operational expenses. This might not be sustainable in the medium to long term given the high cost structure being experienced. All funeral assurers are encouraged to streamline their operating and management expenses to sustainable levels.
- 9.5. Claims ratio for the sector was 28.73% for the nine months ended 30 September 2019. Funeral assurers are continuously encouraged to assess and address the major contributing factors that are resulting in the claims ratio that has been experienced.
- 9.6. As highlighted in previous reports, the Commission is concerned with high commissions, management, operating and administration costs that continue to be incurred by funeral assurers at the expense of policyholder protection.
- 9.7. A summary of the claims incurred, operating expenses, total costs for each funeral assurer for the nine months ended 30 September 2019, is shown in Appendix A5.

10. Liquidity

- 10.1. The sector had a negative working capital position of ZWL\$ 36,839 as at 30 September 2019 as current liabilities amounted to ZWL\$ 19,49 million were supported by current assets worth ZWL\$ 19,46 million. The sector finds itself in a very precarious position given that approximately 50.00% of the current liabilities are for example, employee related obligations and payments to subsidiary funeral providers for services provided. However, 86.36% of the current liabilities are from one funeral assurer with the majority of current assets being in the form of accounts receivables (75.45% of current assets) which might or might not be paid.
- 10.2. Funeral assurers are therefore, encouraged to revise their investment portfolio mix, so as to avoid asset- liability mismatch and ensure that they have appropriate short – term assets which are easily liquid to be able to support their current liabilities.

11. Market Share

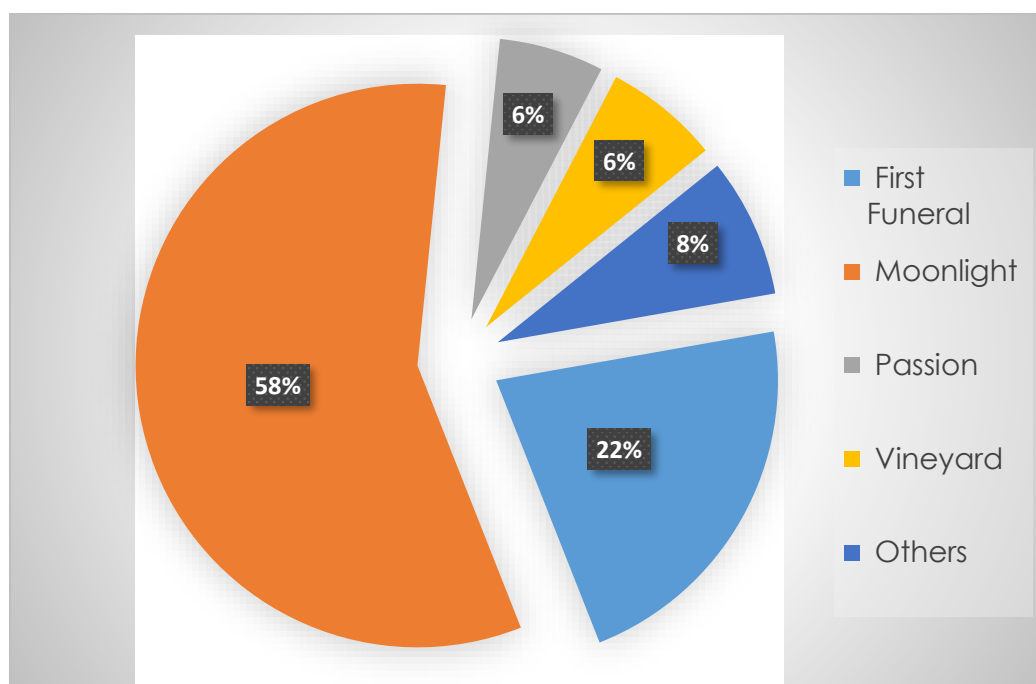
- 11.1. Two funeral assurers wrote 80.00% of GPW for the nine months ended 30 September 2019. The remaining six funeral assurers wrote 20.00 % of funeral assurance business.

11.2. The funeral assurance sector wrote 9.79% of the entire funeral business for the period under review when compared to life assurers that wrote 90.21% of the funeral assurance business. This was a 1,139 basis points decline in the GWP by the eight dedicated funeral assurers for the period under review when compared to the nine months ended 30 September 2018.

11.3. Funeral assurers are urged to devise mechanisms to write new business and improve market share and to be able to survive the pressure that is being experienced from the life assurers.

11.4. Distribution of the market share in-terms of GPW for the eight dedicated funeral assurers is shown in Figure 6 below.

Figure 6: Market Share in-terms of GPW



12. Funeral Assurance Sector Complaints

12.1. During the period under review, two complaints relating to the funeral assurance sector were received and resolved by the Commission. The complaints were related to the failure by funeral assurers to fulfil their obligations as defined in the terms and conditions of the policy citing economic challenges such as fuel shortages, for the short-comings.

13. The Future

13.1. The funeral assurance sector finds itself in a suppressed position given the increased pressure from the life assurance sector writing funeral business. There is need to be innovative in their product offering and their distribution methods so as to enhance customer experience and increase the coverage ratio. The funeral assurance business also faces competition from new entrants in the micro-insurance space as there has been increased presence of registered micro-insurers writing funeral business. This is likely to reduce GPW by funeral assurers should the sector fail to be creative and re-engineer their business models.



14. Appendix

APPENDIX A1: KEY PERFORMANCE INDICATORS FOR FUNERAL ASSURANCE COMPANIES									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total/ Average
Key Performance Indicator									
Capital Adequacy									
Capital Position i.e Net Assets (ZWL\$ 000)	704	9,058	3,013	141,367	792	3,383	9,564	2,538	170,420
Capital Coverage Ratio (CCR)	28.16%	362.31%	120.53%	5654.68%	31.70%	135.33%	382.57%	101.54%	757.42%
Equity/Total Assets Ratio	17.60%	63.60%	69.71%	81.10%	70.27%	76.46%	97.65%	78.92%	79.10%
Solvency Margin	22.88%	196.82%	267.81%	885.58%	268.76%	N/A	328119.32%	799.04%	671.06%
Asset Quality									
Total Assets (ZWL\$ 000)	4,040	14,242	4,322	174,322	1,128	4,425	9,913	3,216	215,607
Investments to Total Assets	74.63%	30.36%	7.94%	0.01%	70.57%	8.54%	0.00%	8.15%	4.23%
Non-Interest Generating Assets/Total Assets	25.21%	69.16%	88.61%	99.96%	21.27%	77.19%	99.92%	89.47%	95.26%
Fixed Assets/Total Assets	24.95%	30.33%	71.54%	95.37%	3.82%	67.60%	98.76%	62.67%	87.90%
Prescribed Assets Ratio	0.00%	0.08%	2.74%	0.01%	3.34%	0.30%	0.00%	2.99%	0.13%
Premium Debtors/Gross Premium	17.72%	120.06%	1.91%	64.07%	13.35%	70.18%	83.69%	46.68%	69.46%
Premium Debtors/Total Assets	0.18%	38.83%	0.42%	4.47%	15.06%	8.92%	1.11%	20.20%	6.81%
Reinsurance									
Risk Retention Ratio	100.00%	100.00%	100.00%	100.00%	98.12%	100.00%	100.00%	100.00%	99.89%
Actuarial									
UPR	67	0	0	0	0	0	0	0	67
Gross Outstanding Claims	0	0	0	5	0	0	3	0	8



Future Policyholder Benefits	3041.613	4601.951	1125.11	15958.2	294.838	0	0	315.435	25337.147
Total Assets/Total Reserves	129.99%	309.47%	384.16%	1092.03%	382.49%		336020.95%	1012.41%	848.38%
Earnings									
Profit After Tax (000)	-8.86	3.67	(52.50)	560.98	274.56	68.85	(20.43)	220.20	1,046.47
Return on Equity	-1.24%	0.04%	-1.74%	0.40%	34.65%	2.04%	-0.21%	8.68%	0.61%
Return on Assets	-0.22%	0.03%	-1.21%	0.32%	24.35%	1.56%	-0.21%	6.85%	0.49%
Loss(Claims) Ratio	39.24%	30.80%	17.59%	29.67%	22.68%	14.55%	10.28%	35.27%	28.85%
Net Commission Ratio	0.00%	20.89%	6.97%	3.48%	6.38%	0.00%	1.85%	8.49%	7.84%
Net Expense Ratio	82.48%	44.58%	82.21%	68.77%	48.71%	65.44%	115.62%	49.67%	61.89%
Combined Ratio	121.72%	96.13%	106.77%	101.92%	76.31%	78.67%	127.75%	93.44%	98.36%
Liquidity									
Current ratio	7.32%	10.39%	20.75%	208.98%	14.02%	228.85%	187.13%	34.88%	100%
Acid Test ratio									
Liquid assets as a percentage of total assets	74.41%	0.48%	3.44%	0.04%	1.05%	0.40%	0.08%	5.30%	1.62%
Market Shares									
Market Share Based on GPW	0.19%	21.79%	4.52%	57.60%	6.02%	2.66%	0.62%	6.59%	100%
Market Share Based on NPW	0.19%	21.82%	4.53%	57.67%	5.91%	2.66%	0.62%	6.59%	100%
Market Share Based on Total Assets	1.87%	6.61%	2.00%	80.85%	0.52%	2.05%	4.60%	1.49%	100%



APPENDIX A2: STATEMENT OF COMPREHENSIVE INCOME FOR FUNERAL ASSURERS FOR THE YEAR ENDING 30 SEPT 2019 (000)									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
Gross Written Premiums	40.77	4,606.36	955.93	12,174.34	1,271.69	562.53	131.86	1,391.95	21,135.43
Reinsurance Premiums					23.95				23.95
Net Written Premiums	40.77	4,606.36	955.93	12,174.34	1,247.74	562.53	131.86	1,391.95	21,111.48
Increase/(Decrease) in UPR		12.26				51.14			63.40
Net Earned Premiums	40.77	4,594.10	955.93	12,174.34	1,247.74	511.39	131.86	1,391.95	21,048.08
Provision for Future Claims								28.85	28.85
Outstanding claims	10.22			4.95			2.95		18.12
Paid Claims	5.78	1,414.89	168.19	3,607.20	283.05	74.41	10.61	462.09	6,026.23
Net Claims	16.00	1,414.89	168.19	3,612.15	283.05	74.41	13.56	490.94	6,073.19
Net Commissions and Fees		959.67	66.64	423.13	79.59		2.44	118.24	1,649.71
Technical Result	24.77	2,219.54	721.10	8,139.06	885.10	436.98	115.87	782.76	13,325.18
Operating/Administration Expenses	13.90	2,053.31		7,388.83		368.13	125.98	62.96	10,013.11
Underwriting Profit/(Loss)	10.87	166.23	721.10	750.23	885.10	68.85	(10.11)	719.80	3,312.07
Management expenses	19.72		785.83	983.51	607.83		26.48	628.48	3,051.85
Investment Income			5.64	1.65	9.11			56.56	72.95
Other expenses		345.48	12.15		9.82			99.17	466.62
Other Income		196.00	20.00	1,055.36			16.16	171.54	1,459.05
Profit Before Interest and Tax	(8.86)	16.75	(51.25)	823.73	276.56	68.85	(20.43)	220.25	1,325.60
Taxation			1.25		2.00				3.25
Interest Payments		13.08		262.75				0.05	
Profit After Tax and Interest	(8.86)	3.67	(52.50)	560.98	274.56	68.85	(20.43)	220.20	1,046.47
Transfer to policyholders funds			26.00	-					26.00
Dividends									-
Retained Income	(8.86)	3.67	(78.50)	560.98	274.56	68.85	(20.43)	220.20	1,020.47



APPENDIX A3: STATEMENT OF FINANCIAL POSITION FOR FUNERAL ASSURERS AS AT 30 SEPT 2019 (000)									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
Assets									
Non-Current Assets									
Property and Equipment	1,008	4,320	3,092	166,253	43	2,991	9,790	2,016	189,512
Investment Property		4,279	225		640			120	5,264
Investments in Securities	16	44	36	12	39	378		48	573
Intercompany Investments					117				117
Other Non-Current Assets			82			601			683
Total Non-Current Assets	1,023	8,643	3,436	166,266	839	3,970	9,790	2,184	196,149
Technical Assets									-
Reinsurers' Share of O/S Claims									-
Deferred Acquisition Cost (DAC)									-
Total Technical Assets	-	-	-	-	-	-	-	-	-
Current Assets									
Cash & cash equivalents	7	68	66	64	12	18	7	77	319
Short Term Investments	3,000		82				0	94	3,176
Prescribed Assets	-	10.99			80	13			94
Inventory and Other Assets	3		720	192	27	29	5	212	1,188
Accounts Receivables	7	5,530	18	7,800	170	395	110	650	14,681
Total Liquid Assets	3,006	68	149	64	12	18	8	171	3,495
Total Assets	4,040	14,242	4,322	174,322	1,128	4,425	9,913	3,216	215,607
Liabilities									
Deferred Tax Liabilities				6,224					6,224



Future policyholder benefits	3,042	4,602	1,125	15,958	295			315	25,337
Short term loans		464		1,290		92			1,846
Long term Loans				156					156
Current Tax provisions				344					344
Gross Outstanding Claims				5			3		8
IBNR								2	2
UPR	67								67
Creditors	78		184	8,978	11	279	210		9,740
Amount due to related companies	143								143
Other Liabilities		118			29	671	20	360	1,198
Total Technical Liabilities/Reserves	3,108	4,602	1,125	15,963	295	-	3	318	25,414
Current Liabilities	221	582	184	16,836	40	1,041	230	360	19,495
Total Liabilities	3,329	5,184	1,309	32,955	335	1,041	233	678	45,065
Shareholders' Equity									
Share Capital	14	411		1,500	1,049	930	41	211	4,156
Share Premium	1,334	1,610						978	3,922
Revaluation & Other Reserves	268	3,727	3,013	139,867	(257)	2,453	9,801	36	158,909
Retained Profit	(904)	3,309					(162)	1,313	3,556
Shareholders' Equity	711	9,058	3,013	141,367	792	3,383	9,680	2,538	170,543
TOTAL EQUITY & LIABILITIES	4,040	14,242	4,322	174,322	1,128	4,425	9,913	3,216	215,607



APPENDIX A4: GROSS WRITTEN PREMIUMS BREAKDOWN AS AT 30 SEPT 2019

Name of Company	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Sep-18	Sep-19	Change (%)	Sep-18	Sep-19	Change (%)	Sep-18	Sep-19	Change (%)	Sep-18	Sep-19	Change (%)	Sep-18	Sep-19	Change (%)
First Funeral	9	8	-16%	4,749	4,599	-3%	0	-	0	0	-	0	4,757.98	4,606.36	-3.19%
Foundation	4	19	383%	781.34	937	20%	0	-	0	0	-	0	785.26	955.93	21.73%
Moonlight	190	228	20%	8,730	11,947	37%	0	-	0	0	-	0	8,920.78	12,174.34	36.47%
Orchid	5	-	-100%	24.87	5	-80%	0		0	0	36	0	29.89	40.77	36.41%
Passion	14	4	-75%	177	225	27%	47.3	5	-89%	642.71	1,038	62%	881.25	1,271.69	44.31%
Ruvimbo	27	169	529%	179.65	394	119%	0	-	0	86.2	-	-100%	292.67	562.53	92.20%
Sunset	1	124	24685%	54.3	8	-85%	0	-	0	0	-	0	54.80	131.86	140.62%
Vineyard	150	73	-51%	215.12	146	-32%	212.28	198	-7%	238.18	974	309%	815.98	1,391.95	70.59%
TOTAL	400.48	623.99	56%	14,911.46	18,260.16	22%	259.58	202.88	-22%	967.09	2,048.39	112%	16,538.61	21,135.43	27.79%



APPENDIX A5: COST AND EARNINGS ANALYSIS FOR THE FUNERAL ASSURANCE INDUSTRY AS AT 30 SEPT 2019

Co. Name	NPW (ZWL\$ 000)			Claims (ZWL\$ 000)			Commissions (ZWL\$ 000)			Management Expenses (ZWL\$ 000)			Total Costs (ZWL\$ 000)			Combined Ratio		
	Sep-18	Sep-19	Change	Sep-18	Sep-19	Change	Sep-18	Sep-19	Change	Sep-18	Sep-19	Change	Sep-18	Sep-19	Change	Sep-18	Sep-19	Change
First Funeral	4,758	4,606.36	-3%	1,309.99	1,414.89	8%	1,027	959.67	-7%	1,691	2,053	21%	4,028	4,427	10%	85%	96%	11%
Foundation	785	955.93	22%	108.84	168.19	55%	55.14	66.64	21%	616.25	785.83	28%	780.23	1,020	31%	99%	107%	7%
Moonlight	8,921	12,174.34	36%	2,534.72	3,612.15	43%	344.00	423.13	23%	5,667	8,372	48%	8,545	12,407	45%	96%	102%	6%
Orchid	30	40.77	36%	16.91	16.00	-5%	-	-	0%	28.18	33.63	19%	45.09	49.63	10%	151%	122%	-29%
Passion	881	1,271.69	44%	228.17	283.05	24%	70.59	79.59	13%	576.60	607.83	5%	875.36	970.47	11%	99%	76%	-23%
Ruvimbo	293	562.53	92%	47.48	74.41	57%	139.04	-	0%	-	368.13	100	186.52	442.54	137%	64%	79%	15%
Sunset	55	131.86	141%	7.91	13.56	71%	1.61	2.44	51%	55.77	152.46	173%	65.29	168.45	158%	119%	128%	9%
Vineyard	816	1,391.95	71%	188.00	490.94	161%	43.80	118.24	170%	420.56	691.44	64%	652.36	1,300	99%	80%	93%	13%
Total	16,538	21,135	28%	4,442	6,073	37%	1,681.	1,649	-2%	9,055	13,064	44%	15,179	20,787	37%	92%	98%	7%